

ECO102: Introduction to Macroeconomics

Lecture 8: Changes in Aggregate Demand & the SR and LR Macroeconomic Equilibrium

(Chapter 27: Aggregate Supply and Aggregate Demand)

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Summer 2026

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Chapter 27: Aggregate Supply and Aggregate Demand, pp 653 – 661

Changes in AD

- A change in the price level corresponds to a change in the quantity of Aggregate Demand
- A change in any factor that influences buying plans other than the price level brings a change in aggregate demand. These are:
 - Expectations
 - Fiscal Policy and Monetary Policy
 - The World Economy

Changes in AD: Expectations

- **Expectations:** An increase in ***expected future income*** increases the amount of consumption goods that people plan to buy today

An increase in the ***expected future inflation rate*** increases aggregate demand today because people decide to buy more goods and services at today's relatively lower prices

An increase in ***expected future profits*** increases the investment that firms plan to undertake today and increases aggregate demand

Changes in AD: Fiscal and Monetary Policy

- ***Fiscal Policy and Monetary Policy:*** The government's attempt to influence the economy by setting and changing taxes, making transfer payments, and purchasing goods and services is called **fiscal policy**
- **Disposable income** is aggregate income minus taxes plus transfer payments
- The greater the disposable income, the greater is the quantity of consumption goods and services that households plan to buy and the greater is aggregate demand
- Also if government expenditure increases, the aggregate demand increases as well

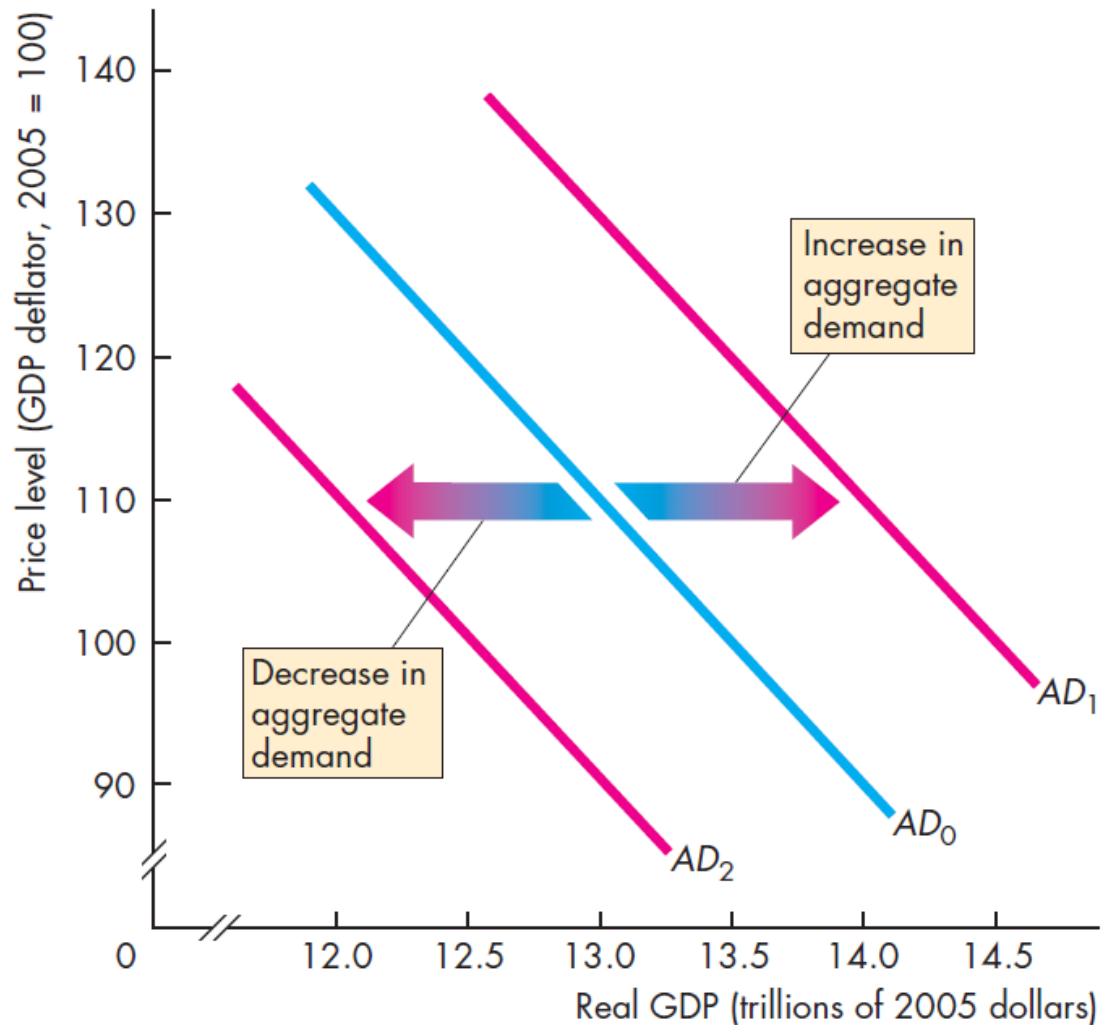
Changes in AD: Fiscal and Monetary Policy

- The Central Bank's attempt to influence the economy by changing interest rates and the quantity of money is called ***monetary policy***
- An increase in the quantity of money increases aggregate demand by lowering interest rates and making it easier to get a loan
- A decrease in the quantity of money has the opposite effects and lowers aggregate demand

Changes in AD: The World Economy

- ***The World Economy:*** Two main influences that the world economy has on aggregate demand are the **exchange rate** and **foreign income**
- Other things remaining the same, a rise in the exchange rate decreases aggregate demand, and vice versa
- An increase in foreign income increases exports, leading to an increase to aggregate demand

Shifts of the AD Curve



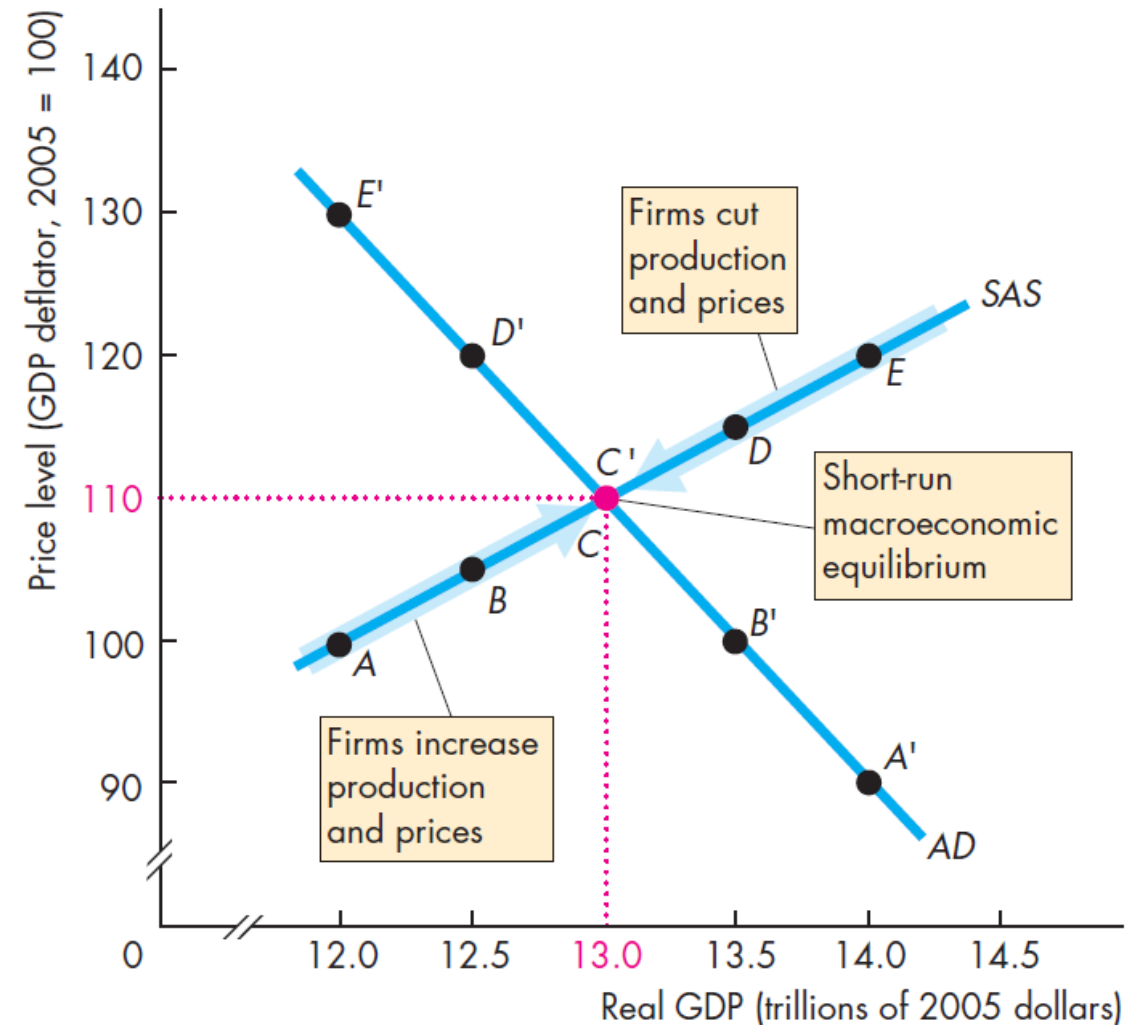
Aggregate Demand	
Decreases if	Increases if
Expected future income, inflation or profit decreases	Expected future income, inflation, or profit increases
Fiscal policy decreases govt. expenditure, increases taxes, or decreases transfer payments	Fiscal policy increases govt. expenditure, decreases taxes, or increases transfer payments
Monetary policy decreases the quantity of money and increases interest rates	Monetary policy increases the quantity of money and decreases interest rates
The exchange rate increases or foreign income decreases	The exchange rate decreases or foreign income increases

Macroeconomic Fluctuations: Short-run Macroeconomic Equilibrium

- *Short-run macroeconomic equilibrium* occurs when the quantity of real GDP demanded equals the quantity of real GDP supplied; when **$AD = SAS$**
- Try to think about what happens when the price level is either above or below the equilibrium level
- In the short run, the money wage rate is fixed. It does not adjust to move the economy to full employment. So in the short run, real GDP can be greater than or less than potential

Macroeconomic Fluctuations: Short-run Macroeconomic Equilibrium

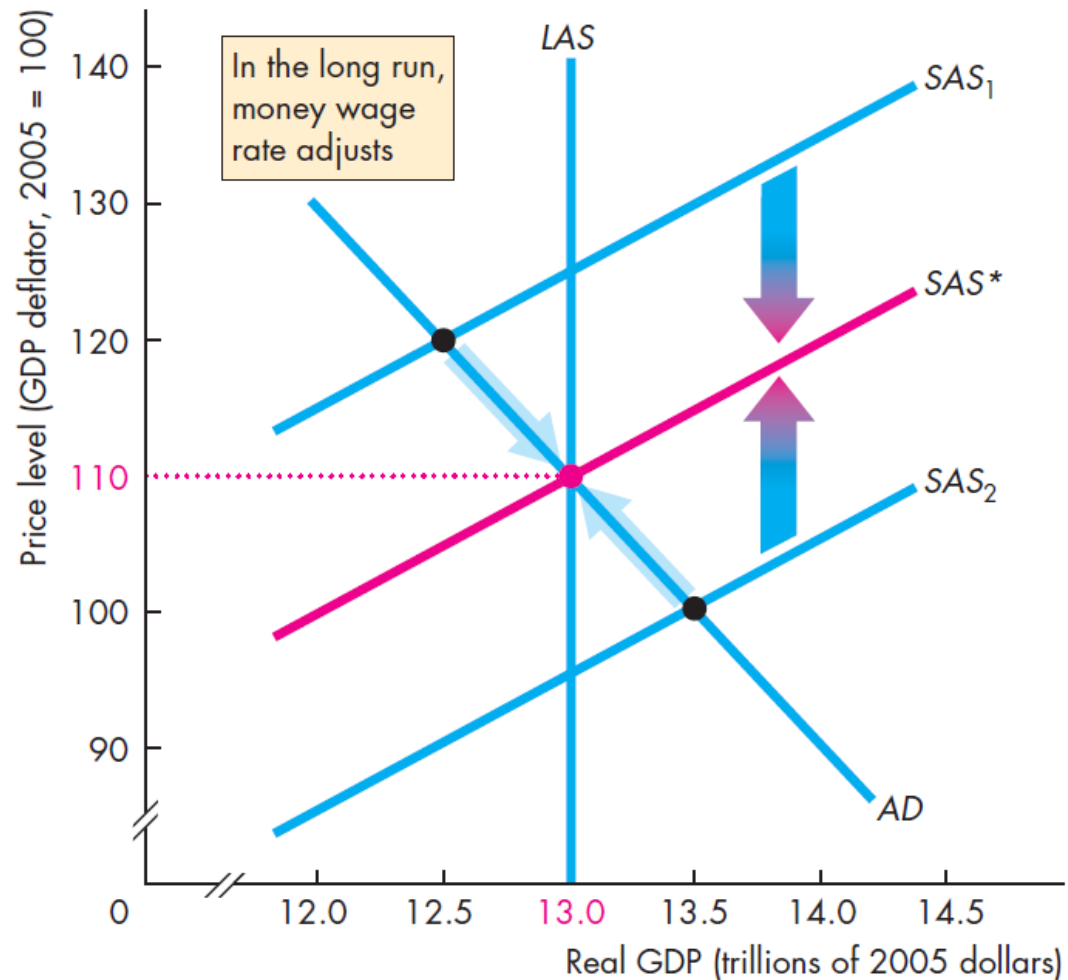
Short-run macroeconomic equilibrium occurs when real GDP demanded equals real GDP supplied at the intersection of AD curve SAS curve



Macroeconomic Fluctuations: Long-run Macroeconomic Equilibrium

- ***Long-run macroeconomic equilibrium*** occurs when real GDP equals potential GDP; equivalently, when the economy is on its LAS curve
- When the economy is away from long-run equilibrium, the money wage rate adjusts
- If the money wage rate is too high, short-run equilibrium is below potential GDP and the unemployment rate is above the natural rate, and with an excess supply of labor, the money wage rate falls
- If the money wage rate is too low, short-run equilibrium is above potential GDP and the unemployment rate is below the natural rate there is an excess demand for labor, leading to the money wage rate to rise

Macroeconomic Fluctuations: Long-run Macroeconomic Equilibrium

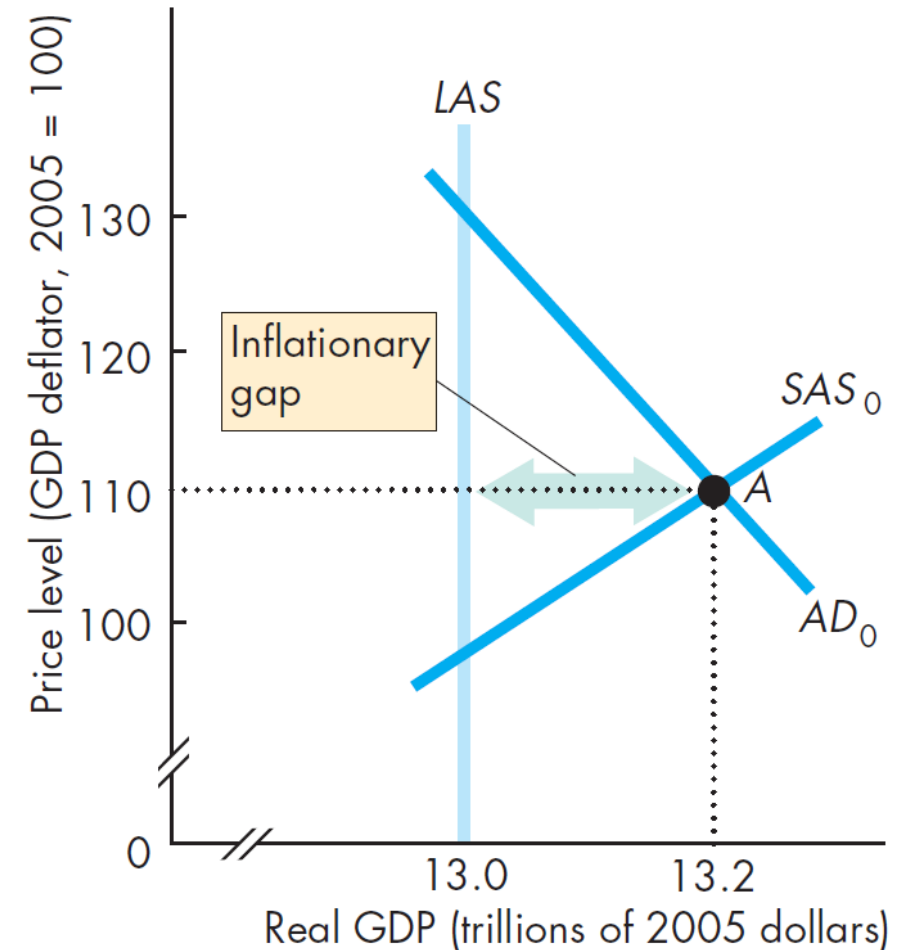


In long-run equilibrium, potential GDP determines real GDP and potential GDP and aggregate demand together determine the price level

The money wage rate adjusts until the SAS curve passes through the long-run equilibrium point

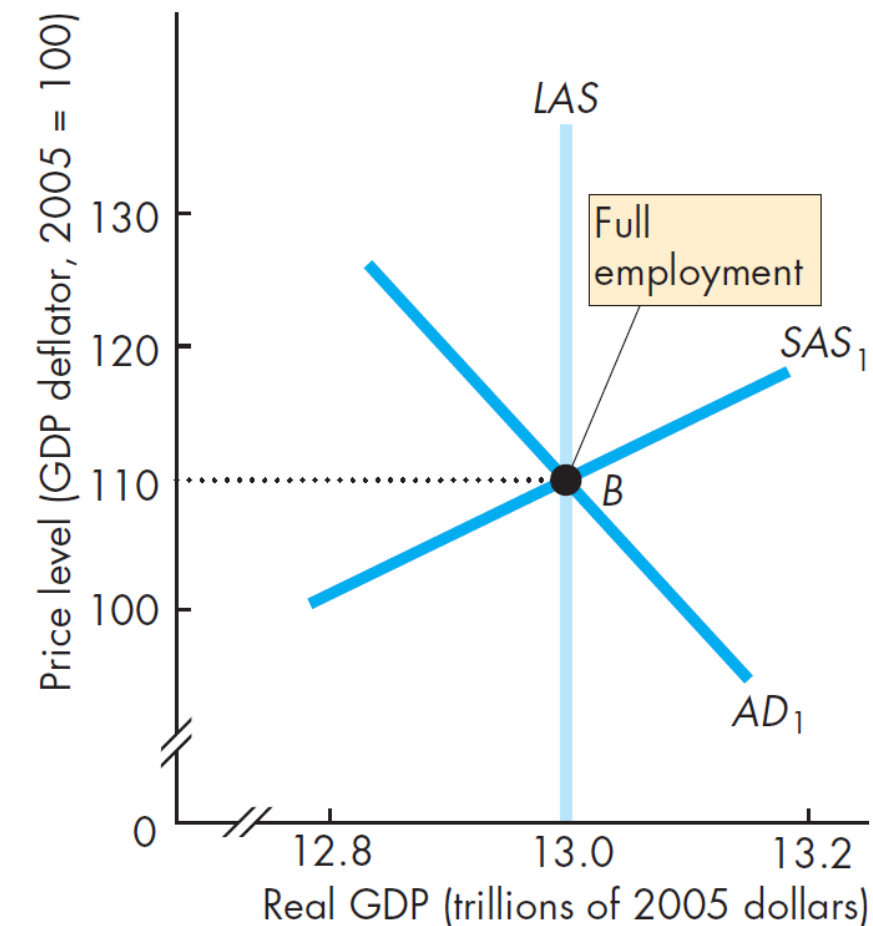
The Business Cycle in the AS-AD Model

- The business cycle occurs because aggregate demand and short-run aggregate supply fluctuate but the money wage rate does not adjust quickly enough to keep real GDP at potential GDP
- When real GDP exceeds potential GDP, the output gap is called an **inflationary gap**



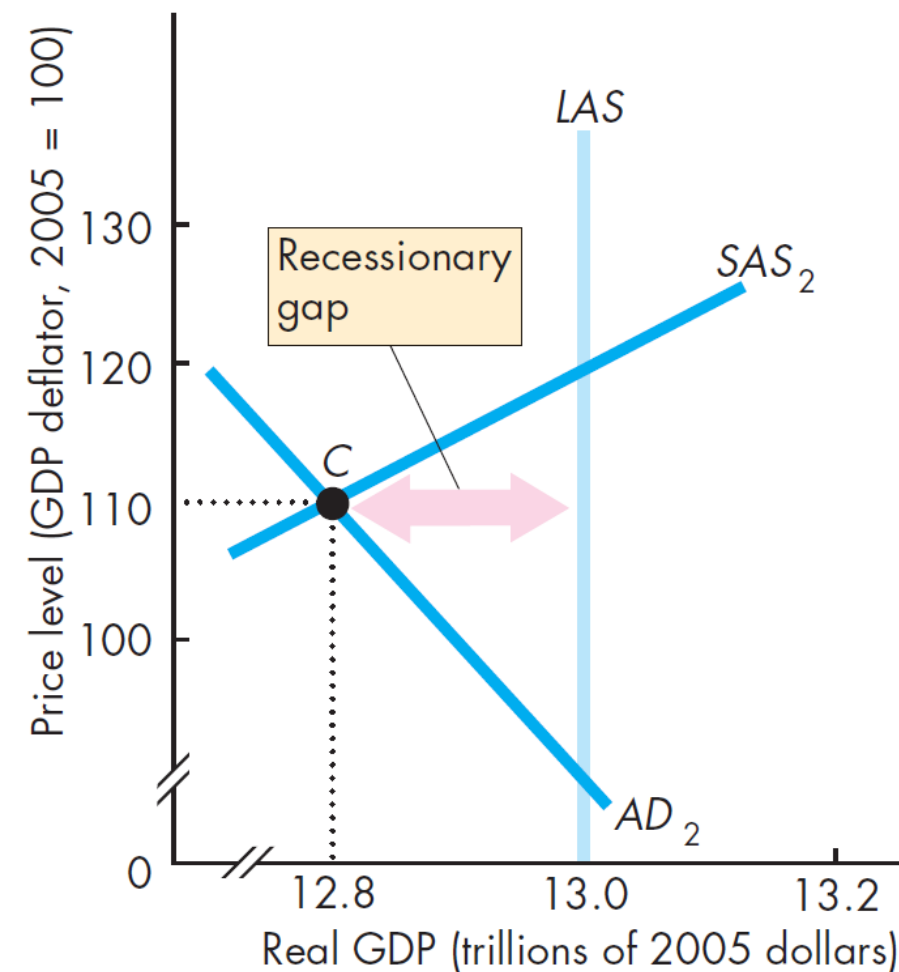
(a) Above full-employment equilibrium

The Business Cycle in the AS-AD Model



At full-employment equilibrium, **real GDP equals potential GDP**

When potential GDP exceeds real GDP, the output gap is called a **recessionary gap**

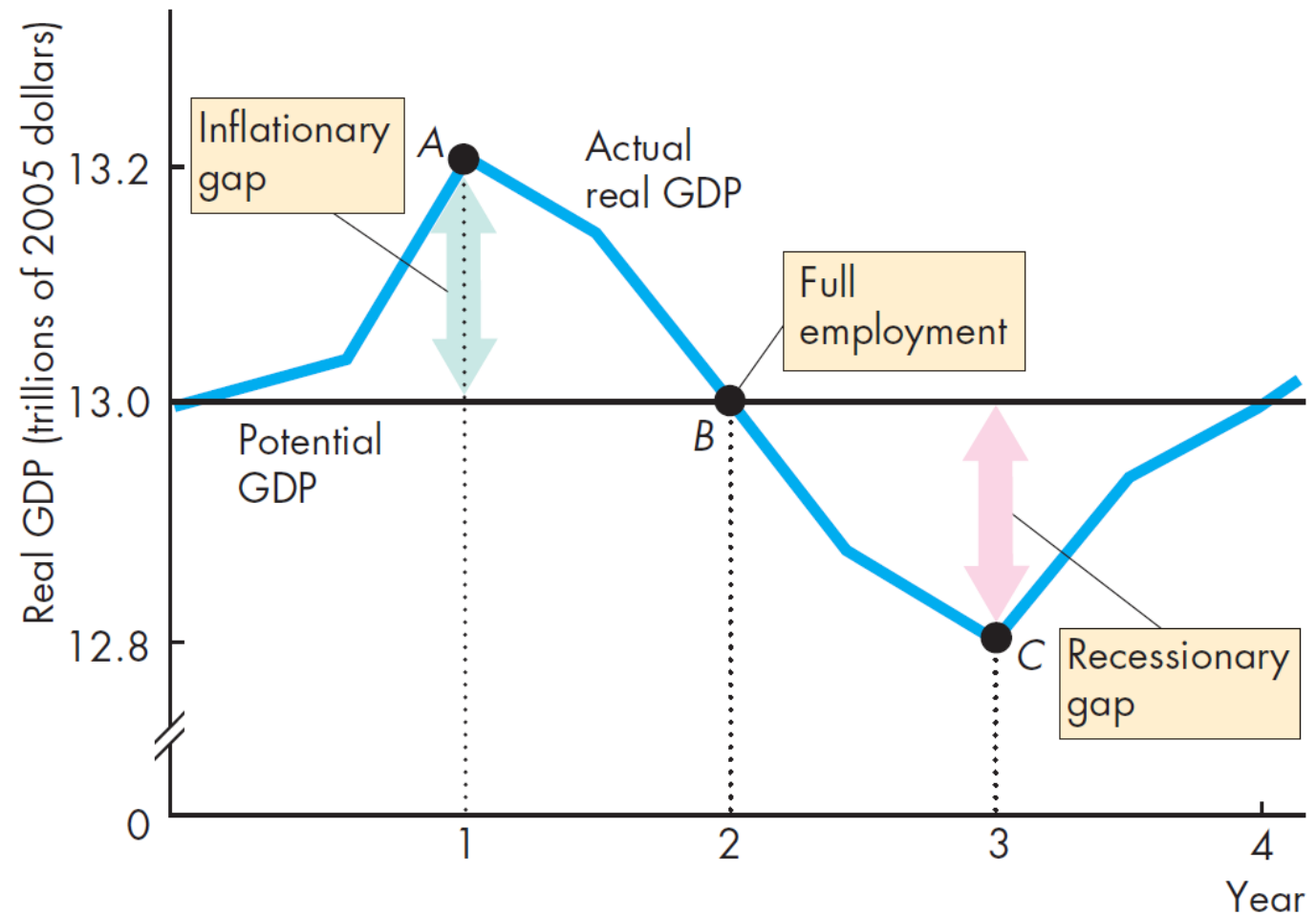


(b) Full-employment equilibrium

(c) Below full-employment equilibrium

The Business Cycle in the AS-AD Model

Real GDP fluctuating around the Potential GDP throughout the business cycle

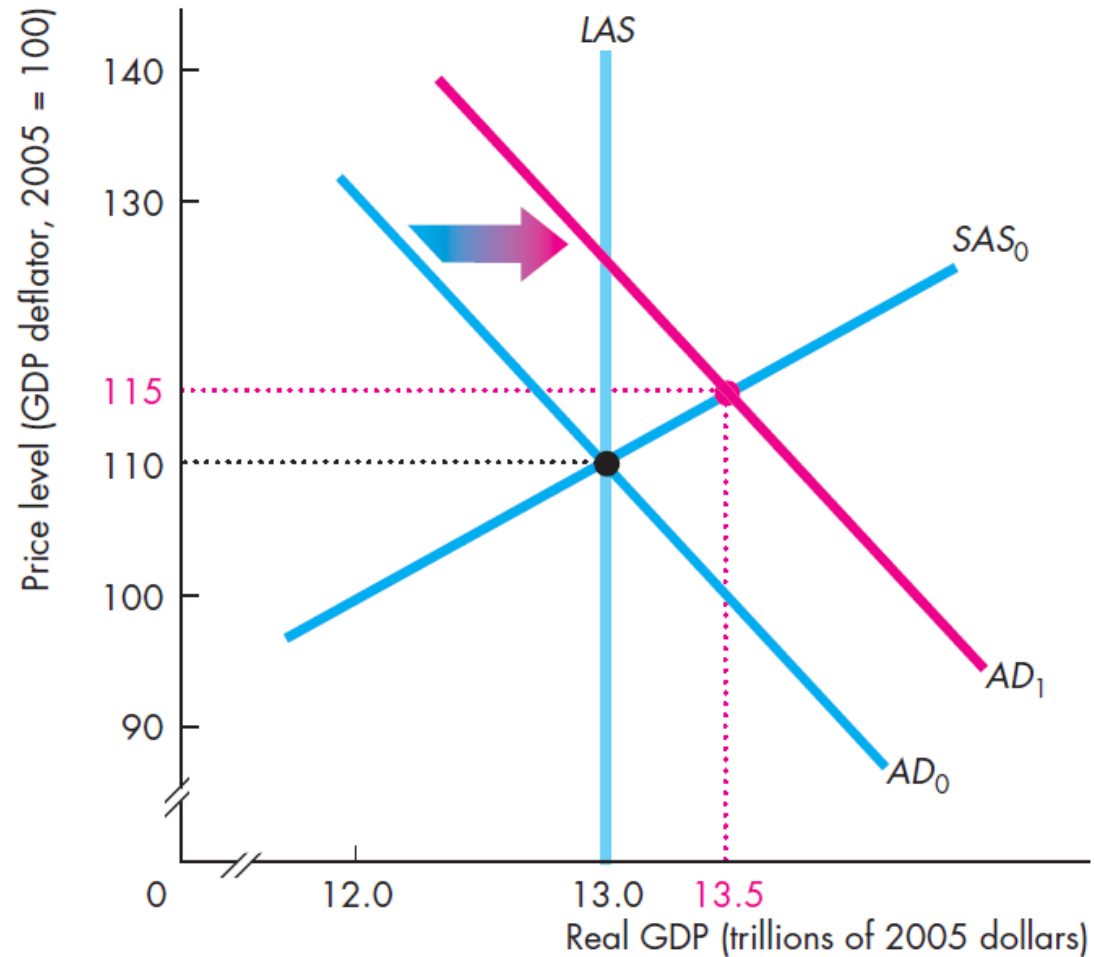


(d) Fluctuations in real GDP

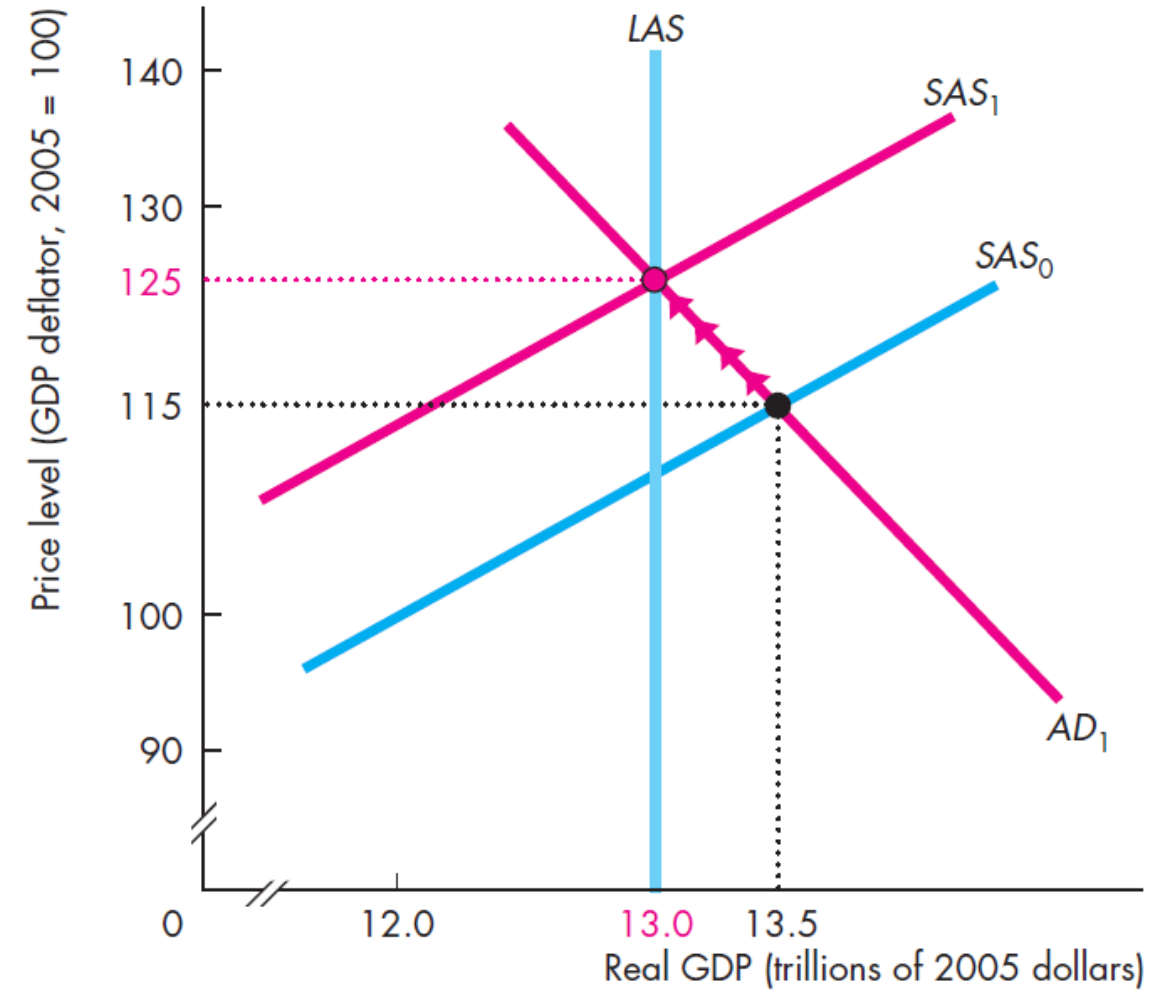
Fluctuations in Aggregate Demand

- An increase in AD, shifts the AD curve to the right
- In the short run, the money wage rate does not change, hence the SAS does not shift and we have a higher real GDP at a higher price level, causing an inflationary gap
- In the long run, the money wage rate increases, shifting the SAS curve to the left, causing real GDP to equal potential GDP, but now at an even higher price level
- The opposite happens when AD decreases
- ***GO THROUGH THE RELEVANT SECTION FROM THE BOOK!!!***

Fluctuations in Aggregate Demand



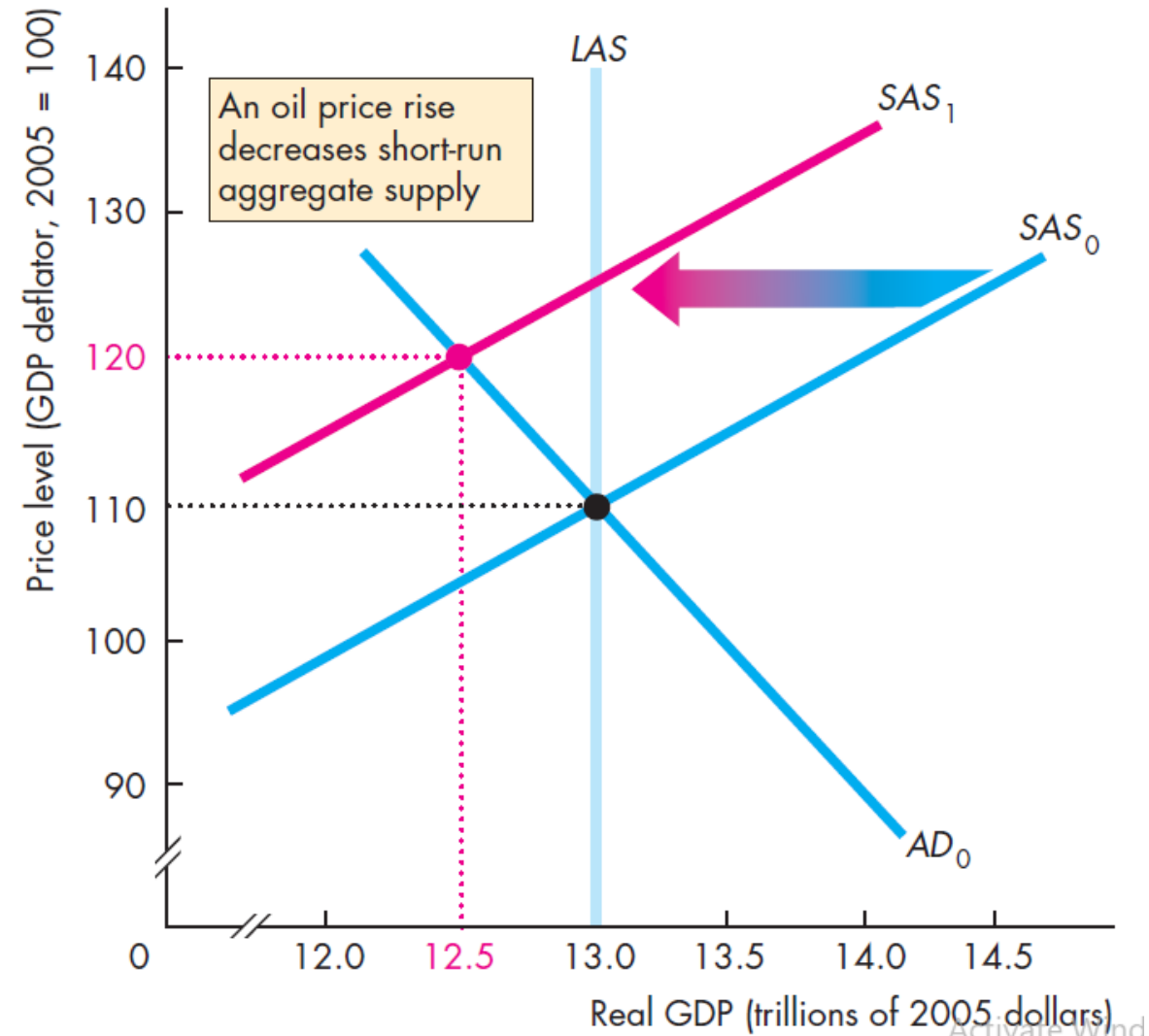
(a) Short-run effect



(b) Long-run effect

Fluctuations in Aggregate Supply

- An increase in the price of oil decreases short-run aggregate supply and shifts the short-run aggregate supply curve from SAS_0 to SAS_1
- A combination of recession and inflation is called **stagflation**, which is quite concerning for any economy



Question

Q) Suppose the economy of Country X is in a long run macroeconomic equilibrium. The businesses in Country X expects that their future profit to fall. Explain using appropriate diagrams what happens in the short run and then show how the economy adjusts in the long run.